

Fostering community wellness and employee welfare

# Driving Environmental Stewardship and Innovation

Operating across MENAT markets shaped by climate pressures, water constraints and evolving regulations, Savola Group (Savola HQ, Savola Foods, and Panda) integrates environmental stewardship into its strategy in line with national net-zero ambitions. The Group focuses on improving energy efficiency, reducing emissions and minimizing waste across manufacturing and retail operations, while advancing responsible water management and sustainable packaging solutions to support long-term, resilient growth.

Savola Group has submitted a request to SBTi to join the initiative and set a GHG emissions reduction target.



## Climate Change and Emissions

Savola Group recognizes climate change as a global priority and actively manages our emissions in line with national and international goals. Across the portfolio, the Group is strengthening emissions measurement and disclosure, with both Panda Retail Company and Savola Foods Company reporting Scope 1 and Scope 2 greenhouse gas emissions to enhance transparency, support accountability and guide ongoing emissions reduction efforts.

### 2025 Progress and Achievements

Savola Group continuously advances its environmental agenda through a set of initiatives applied across its subsidiaries. In 2025, Product Supply accelerated Savola Foods Company (SFC) decarbonization agenda through targeted operational efficiency and energy management initiatives, achieving an 16.3% reduction in greenhouse gas emissions per metric ton compared to 2024. This progress was supported by process optimization across refineries and manufacturing sites, improved asset reliability, and energy efficiency projects that reduced fuel and electricity intensity across operations.

These actions translated into a meaningful reduction in overall emissions. SFC's combined Scope 1 and Scope 2 greenhouse gas emissions declined to 632,108.48 tons of CO<sub>2</sub>e in 2025, compared with 755,177.69 tons of CO<sub>2</sub>e in 2024 and 914,233.90 tons of CO<sub>2</sub>e in 2019. This represents a 16.3% reduction year on year and a 30.9% reduction compared with the 2019 baseline, reflecting sustained progress in lowering the Group's carbon footprint while improving operational efficiency.

SFC continues to strengthen emissions performance through more efficient and responsible operations, while Panda Retail Company is also improving its environmental performance through ongoing energy optimization and enhanced environmental management across its stores and facilities. For further details on Scope 1 and Scope 2 performance across Savola Group and its operating units, please refer to the 2025 ESG Report available on the Group's website.

## Clean and Efficient Energy

Savola Group continues to strengthen its approach to sustainable energy management by embedding efficiency-driven practices across retail and manufacturing operations. Energy optimization, water efficiency improvements, and enhanced process performance are directly reducing resource consumption and lowering emissions across sites. By systematically improving how energy and utilities are used, we deliver measurable environmental outcomes while advancing the Group's transition toward more sustainable operations.

Across the portfolio, operating companies monitor electricity consumption to assess performance, identify opportunities for optimization and guide continuous improvement. This approach enables the Group to track trends over time while supporting informed decision-making and long-term energy efficiency goals.

### 2025 Progress and Achievements

As part of the Group's plan, SFC delivered significant energy-related cost and efficiency improvements despite higher fuel prices across Arabia and Egypt, achieving net savings of ₪ 104 million versus budget and ₪ 11 million versus 2024. These outcomes were supported by targeted energy efficiency initiatives, optimization of utilities consumption, logistics improvements, and procurement discipline, reinforcing the link between operational excellence, environmental performance and cost resilience.

Panda Retail continued to advance cleaner and more efficient energy use across its logistics and infrastructure. A backhauling collaboration with Unilever optimized return transport routes, eliminating the need for separate delivery trips and reducing fuel consumption and associated emissions. Circular resource management also progressed, with 15,800 vehicle batteries diverted for recycling in 2025, up from 13,400 in the prior year, supporting responsible material recovery and reduced environmental impact.

Energy efficiency across facilities was further strengthened through the full transition to LED lighting at distribution centers, significantly lowering electricity demand. Panda's distribution center in King Abdullah Economic City achieved LEED Silver certification, reflecting high standards in sustainable design and operational efficiency, while rooftop solar installation is contributing to cleaner on-site energy generation. Collectively, these initiatives are reducing energy intensity, improving operational performance, and strengthening Panda's environmental footprint.

By integrating efficiency considerations into facility management, fleet operations and operational planning, the Group aims to gradually reduce energy demand while supporting long-term operational resilience and embedding energy efficiency into day-to-day operations across our Head Office and operating companies. Further details on energy, electricity and fuel consumption are available in the 2025 ESG Report on our website.

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Waste and Circular Economy

Savola Group embeds waste management and circular economy principles into our ESG strategy by focusing on waste reduction, resource efficiency and responsible disposal across our operations. Efforts to minimize food and packaging waste, supported by recycling initiatives and more sustainable packaging solutions, help reduce landfill reliance and improve overall efficiency.

Waste generated from offices, retail operations and food manufacturing remains a key focus area. As part of their commitment to circular economy principles, Panda Retail Company tracks waste generation and recovery to support continuous improvement, while Savola Foods Company repurposes production by-products into valuable co-products, reinforcing the Group’s commitment to circular and sustainable practices.

2025 Progress and Achievements

During 2025, Product Supply strengthened waste reduction and resource efficiency practices across manufacturing operations through tighter process controls, improved material handling, and disciplined production planning. Material losses declined to 2.25% compared to 2.48% in 2024 and 2.44% in the business plan, reflecting stronger waste prevention and yield optimization. These improvements contributed to lower disposal volumes, higher recovery of usable by-products, and greater alignment with circular economy principles across refineries and packaging facilities.

In 2025, the Group along with our operating companies and their operating units prioritized waste reduction, focusing specifically on improving diversion and promoting the reuse of materials across operations. These efforts supported a shift toward more circular practices, particularly within manufacturing and retail activities, while helping minimize reliance on landfill disposal. Additional information on waste management initiatives and performance across Savola Group and our operating units is available in the 2025 ESG Report on our website.



Panda’s stock loss decreased to **0.29%** in 2025, compared to **0.59%** in 2024.



Water

Water stewardship is embedded within Savola Group’s ESG strategy, with a focus on efficient use, conservation and responsible management across the value chain. Across the portfolio, operating companies monitor and disclose water consumption and discharge to assess efficiency and guide conservation initiatives. By integrating sustainable water practices into food production and operations, the Group supports long-term environmental resilience and aligns our efforts with Saudi Vision 2030 and global sustainability standards.

2025 Progress and Achievements

The more efficient use of water resources and improved monitoring of withdrawals and discharges across facilities remained a key priority in 2025, supported by continuous improvement efforts across Savola Group and its operating companies. Within this framework, SFC recognizes water stress as a material operational and supply chain risk given its presence in water-stressed geographies, with potential implications for production continuity, input costs, and long-term asset resilience. As a result, water stewardship is embedded within SFC’s operational governance and business planning processes, with performance oversight integrated into management review cycles.

Water management is coordinated by SFC’s dedicated Sustainability Team, which oversees risk assessment, target setting, performance monitoring, and internal reporting, working closely with operations, engineering and supply chain teams to ensure consistent implementation across sites. Governance is supported through a structured Water Management Steering Committee framework with clear executive oversight and operational accountability. Overall responsibility rests with the Chief Product Supply Officer, while General Managers oversee operational compliance, the SFC Center of Excellence provides technical support, and Operating Unit Heads execute approved measures at site level. Consolidated performance and risks are reviewed periodically by senior management to enable timely decision-making and continuous improvement.

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Recognizing the heightened exposure of certain facilities to water stress, SFC invested ₪ 12.35 million in wastewater treatment upgrades and water reuse infrastructure across selected operating units, strengthening efficiency, compliance and risk mitigation. In parallel, the Group expanded the use of alternative and non-potable water sources where operationally feasible, including industrial treated water, recycled condensate, gray water and seawater for utility, cleaning and other non-process applications. The contribution of these sources is monitored at site level and consolidated centrally, supporting reduced reliance on freshwater while maintaining operational safety and product quality.

In 2025, SFC operated with a diversified water sourcing profile that reflects this strategic shift toward lower-stress inputs. Municipal supply accounted for 32% of total withdrawals, while river water represented 22%, seawater 21%, groundwater 12%, recycled condensate 10%, and industrial treated water 3%. This balanced mix demonstrates progress in strengthening water resilience and reducing dependency on high-stress freshwater sources, reinforcing responsible resource management across operations.

For more details on the Group and its operating units' performance on water management, please refer to our ESG 2025 report.



Savola Group is currently conducting a detailed water stress assessment which will be disclosed in the 2025 ESG report.

Sustainable Packaging

Savola Group prioritizes sustainable packaging by integrating environmentally responsible materials, improving efficiency and reducing waste across our operations, in alignment with the Kingdom's requirements. Ongoing efforts focus on supporting food safety, minimizing environmental impact and encouraging innovation in packaging solutions.

As part of its circular economy approach, Panda Retail Company monitors packaging materials collected for recycling, supporting ongoing efforts to divert waste from landfill and promote resource recovery across its operations.

2025 Progress and Achievements

Ongoing research and operational initiatives across the Group continue to strengthen both product health profiles and environmental performance. Panda Retail Company's operations remain central to advancing packaging recovery and recycling practices. Panda Retail initiated sustainability-driven improvements across its supplies and packaging portfolio. Key actions included reducing plastic usage in bakery packaging by using kraft boxes and transitioning from sticker labeling to printed packaging to minimize material consumption. In parallel, it is developing deli packaging with an enhanced locking system to reduce reliance on cling film.

SFC is simultaneously progressing product reformulation and nutrition-focused innovation across key markets, reinforcing the Group's commitment to supporting healthier consumption choices.

SFC has commercialized and scaled a range of reformulated and fortified products designed to enhance nutritional value while maintaining product quality and consumer appeal. These include Fitness Sugar, offering the same sweetness with significantly reduced sugar content, blended cooking oils

combining multiple oil types to deliver omega benefits for heart and brain health, and oils fortified with essential nutrients such as Vitamins A and D, zinc, and turmeric. Natural antioxidant solutions, including green tea extract, support clean-label positioning, while high-protein, high-fiber and lower-carbohydrate pasta products expand healthier staple options. These innovations reflect a structured approach to improving nutritional outcomes across core categories.

In parallel, the company continued to improve packaging operations and optimize packaging material inventories, while introducing new packaging formats and pouch solutions to better meet evolving consumer needs.

Packaging recovery efforts expanded during 2025, increasing the volume of materials collected and sent for recycling across operations. Packaging recovery results and related initiatives across Savola Group and its operating units are outlined in the 2025 Sustainability Report available on our website.



Looking Ahead

Savola Group and our subsidiaries are advancing a comprehensive sustainability agenda focused on clean energy, resource efficiency and circular economy practices. The Group is conducting energy audits in line with American Society of Heating, Refrigerating and Air-Conditioning Engineers (ASHRAE) standards, piloting efficiency upgrades and preparing for the installation of photovoltaic solar panels, while integrating climate considerations into investment decisions and ESG data systems.

Panda Retail is leading clean energy adoption across offices, stores and distribution centers following its 2024 KAEC solar milestone, and will begin consolidating fleet fuel data to enhance emissions transparency, alongside strengthening waste tracking, circular packaging initiatives and consumer awareness campaigns. In parallel, SFC and its entities will pursue innovative, lower-impact packaging solutions and waste-reduction models across operations.

